

Here is the comprehensive Tax Report prepared for Simon.

Tax Residency & Planning Report for Simon

Date: 24 May 2025 **Prepared by:** Hoxton Tax Limited **Client:** Simon **Subject:** UK Statutory Residence Test, Double Taxation Treaty Analysis, and Pension Withdrawal Planning

Executive Summary

This report analyses your intention to cease UK tax residency and become tax resident in the Kingdom of Saudi Arabia (KSA). The primary objective is to facilitate the withdrawal of your £1.2m UK Self-Invested Personal Pension (SIPP) with 0% tax liability, leveraging the UK/Saudi Arabia Double Taxation Convention.

Key Findings: 1. **Residency:** To break UK residency, you must strictly adhere to the Statutory Residence Test (SRT). Given your retained assets (London home) and family situation, your allowable day count in the UK will be significantly restricted. 2. **Pension Taxation:** Article 18 of the UK/Saudi Arabia Double Tax Treaty generally assigns taxing rights for private pensions to the country of residence (KSA). As KSA currently levies 0% personal income tax, this offers a significant planning opportunity. 3. **Critical Risk (Temporary Non-Residence):** The UK has robust anti-avoidance rules. If you withdraw the pension and return to the UK within **five full tax years**, the entire withdrawal will be retrospectively taxed at UK rates (up to 45%) in the year of your return. 4. **Recommendation:** You must remain non-UK resident for at least five full tax years to secure the tax advantage permanently.

Premise (Client Situation)

Current Status: * **Name:** Simon * **Current Residency:** UK Tax Resident. * **Marital Status:** Married. * **Domicile:** Assumed UK Domiciled (based on long-term UK presence).

Assets & Income: * **Property:** Residential home in London (Retained). * **Pension:** UK SIPP valued at £1.2m.

Objectives: * Relocate to Saudi Arabia (KSA). * Become solely tax resident in KSA. * Withdraw the full £1.2m SIPP as a lump sum/flexi-access drawdown. * Mitigate UK income tax on the withdrawal (aiming for 0%).

UK Statutory Residence Test (SRT) Analysis

To cease being a UK tax resident, you must navigate the Statutory Residence Test (SRT) introduced in the Finance Act 2013. As you are leaving the UK, you are classified as a **"Leaver"** (someone resident in the UK for at least one of the previous three tax years).

The Sufficient Ties Test

Because you are retaining a home in London and are married, you will likely not qualify for the "Automatic Overseas Test" immediately unless you spend fewer than 16 days in the UK. Therefore, we must look at your **UK Ties**:

1. **Family Tie:** If your wife remains UK resident, this is a tie.
2. **Accommodation Tie:** You are retaining your London home. If this is available to you for a continuous period of at least 91 days and you spend at least **one night** there, this constitutes a tie.
3. **90-Day Tie:** If you spent more than 90 days in the UK in either of the previous two tax years, this is a tie.
4. **Work Tie:** If you work in the UK for more than 3 hours a day for at least 40 days. (Assumed not applicable if working in KSA).

Simon's Likely Profile: You will almost certainly have the **Accommodation Tie** and likely the **Family Tie** (unless your wife also leaves the UK for the full duration). This places you in the bracket of having **2 or 3 ties**.

Day Count Scenario Table

The following table outlines the maximum number of days you can spend in the UK at midnight without triggering UK tax residency, based on the number of ties you hold.

Number of UK Ties	Classification	Maximum Days in UK (Midnight Count)	Status Consequence
0 Ties	Leaver	182 Days	Non-Resident
1 Tie	Leaver	120 Days	Non-Resident
2 Ties	Leaver	90 Days	Non-Resident
3 Ties	Leaver	45 Days	Non-Resident
4 Ties	Leaver	15 Days	Non-Resident

Analysis: If you retain the London home (Accommodation Tie) and your wife remains in the UK (Family Tie), and you have been present >90 days recently (90-Day Tie), you have **3 Ties**. * **Constraint:** You must not exceed **45 days** in the UK per tax year. * **Planning Note:** If you exceed this, you remain UK resident, and the pension withdrawal is fully taxable in the UK.

Double Tax Treaty (DTT) Analysis: UK / Saudi Arabia (KSA)

Once you have established non-residence under the UK SRT, we must ensure you are treated as "Treaty Resident" in KSA to access treaty benefits.

Tie-Breaker Clauses (Article 4)

If you are considered a resident of KSA under domestic Saudi law (having a permanent residence permit/Iqama and residing there for 183+ days) but the UK HMRC challenges your status (perhaps due to the London home), the "Tie-Breaker" rules in Article 4 of the Convention apply in this order:

1. **Permanent Home:** You have a home in London. You must establish a permanent home in KSA. If you have homes in both, we move to:
2. **Centre of Vital Interests:** Where are your personal and economic relations closer? If your wife is in the UK, this is a risk. If your employment and economic life are in KSA,

this helps.

3. **Habitual Abode:** Where do you spend more time? (Likely KSA).

Crucial Requirement: To claim the pension relief, you must win the Treaty Residence tie-breaker.

Pension Taxation (Article 18)

The specific provision regarding pensions in the UK/Saudi Arabia Convention (2007) is **Article 18**.

Article 18(1): "Subject to the provisions of paragraph 2 of Article 19... pensions and other similar remuneration paid to an individual who is a resident of a Contracting State shall be taxable only in that State."

Interpretation: * **"Taxable only in that State":** This grants exclusive taxing rights to the country of residence (KSA). * **"Subject to tax" clauses:** Unlike some treaties, Article 18(1) does not explicitly state that the income must be *subject to tax* in KSA for the UK to give up rights. It simply allocates the right to KSA. * **KSA Domestic Law:** KSA does not currently impose personal income tax on individuals. * **Result:** In principle, the UK gives up its right to tax the SIPP, and KSA chooses not to tax it. The effective rate is 0%.

Warning on "Lump Sums": While "pensions and similar remuneration" covers periodic payments and usually Flexi-Access Drawdown, HMRC sometimes argues that total commutation (taking the whole pot at once) is not a "pension" but a capital sum. However, under modern pension freedoms, Flexi-Access Drawdown is generally accepted as pension income covered by Article 18.

Recommendations and Planning Summary

To achieve the goal of withdrawing the £1.2m SIPP at 0% tax, you must execute the following plan with precision.

1. The "Five Year" Rule (Temporary Non-Residence)

This is the most critical legal constraint. Under **Section 579CA of ITEPA 2003** and the Statutory Residence Test anti-avoidance rules: * If you withdraw pension income (specifically Flexi-Access Drawdown) while non-resident; **AND** * You were UK resident in 4 of the 7 years prior to departure; **AND** * You return to the UK within **5 years** of departure;

Consequence: The total withdrawal (£1.2m) will be treated as arising in the year you return to the UK. You will be taxed at up to 45% (approx. £540,000 liability) upon your return.

Action: You must commit to living outside the UK for **5 full tax years**.

2. Procedural Steps for Withdrawal

1. **Exit the UK:** Establish KSA residency (obtain Iqama, lease property).
2. **File Form P85:** Notify HMRC you have left the UK.

Apply for NT Tax Code: Submit **Form DT-Individual** (claiming relief under the UK/Saudi Treaty). This requests HMRC to issue an "NT" (No Tax) code to your pension provider.

- *Note:* Without an NT code, the provider must deduct Emergency Tax (often 40-45%) at source. You would then have to reclaim this from HMRC, which is cash-flow inefficient and invites scrutiny.

4. **Execute Withdrawal:** Once the NT code is applied, withdraw the funds into a KSA or offshore bank account.

3. Managing Ties

- **Accommodation:** If possible, rent out the London home to a third party (unrelated) to potentially remove the accommodation tie, or strictly limit visits to ensure you stay under the 45-day limit (assuming 3 ties).
- **Family:** If your wife remains in the UK, you must be extremely diligent with your day count.

4. Summary of Risks

- **Treaty Override:** While rare, ensure no changes to the UK/KSA treaty are ratified prior to withdrawal.
- **HMRC Challenge:** HMRC may challenge your "Treaty Residence" if your centre of vital interests remains in the UK (e.g., wife and family home in London). You must demonstrate your life has moved to KSA.

Disclaimer

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